

# Policy Recommendations for the National AI Action Plan

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## Executive Summary

The United States has the opportunity to lead in the world in the strategic and business use of Artificial Intelligence (AI). This submission presents recommendations for promoting transparent governance, improving national security through innovative defense acquisition, fostering ethical AI applications in finance and faith communities, ensuring the explainability of AI model outputs, preparing an AI-ready workforce, honoring family-centered AI design, and enhancing privacy protections. These strategies address historical regulatory and operational challenges experienced I have experienced while at Meta, Stanford, Microsoft, US Cyber Command, my Silicon Valley secure AI start-up, my wealth management firm, and Joint Special Operations Command (JSOC). These proposals leverage cross-sector collaborations and emphasize transparency and accountability. By embracing these recommendations, this AI Action Plan can secure America's global leadership in AI.

## Governance & Collaborative AI Development

Transparent governance involving industry, academia, and policymakers is essential to prevent antagonistic regulatory relationships between the government and tech companies like Google, which have hindered innovation and America's global AI leadership. Structured dialogues between industry and regulators can proactively address conflicts and facilitate productive collaboration.

**Policy recommendation 1:** Establish national AI governance councils with balanced industry, academic, civil society, and government representation to create a comprehensive, inclusive framework ensuring AI developments align with broad societal interests. These councils should have clear mandates to address set transparent standards, emerging ethical dilemmas, and ensure balanced representation of stakeholder interests, thus avoiding domination by any single interest group.

**Policy recommendation 2:** Institutionalize structured, recurring dialogues between regulators and industry leaders to proactively resolve conflicts, facilitate collaborative regulation development, and avoid reactive regulatory enforcement. This approach would prevent repeating the regulatory friction historically observed at companies like Meta, which slowed down innovation, business value, and American leadership.

**Policy recommendation 3:** Substantially increase federal funding for independent academic and think tank research that objectively assesses the economic, societal, values-based, and global implications of AI. These insights will inform evidence-based policy and contribute significantly to balanced regulatory environments and sustainable AI strategies.

**Policy recommendation 4:** Develop publicly accessible platforms enabling continuous stakeholder engagement, facilitating transparency in policy formulation and ensuring regulations remain relevant and responsive to technological advancements and societal needs.

**Policy recommendation 5:** Regularly organize national town hall meetings and open forums involving citizens from a range of backgrounds to provide direct input into AI policymaking, fostering trust, democratic participation, and societal alignment.

**Counterpoint:** Excessive influence by industry groups might result in policies favoring corporate interests over public welfare.

**How to embrace a new era now:** Initiate inclusive national town halls and stakeholder workshops designed explicitly to incorporate a balanced range of perspectives, ensuring equitable representation and accountability in policy development.

## Leading a New Era of National Security & Defense

Advancing national security with AI demands swift, agile innovation to maintain competitive advantage and strategic preparedness. Traditional high-dollar prime vendor contracts have historically constrained flexibility and innovation, leaving the United States vulnerable to adversaries like China who more rapidly adopt emerging technologies. Implementing agile contracting and fostering collaborations with smaller, innovative firms and academia will encourage breakthrough developments and rapid prototyping. Clear frameworks and cybersecurity standards must underpin these initiatives to maintain operational security.

**Policy recommendation 6:** Launch dedicated AI Innovation Sandboxes within the Department of Defense, enabling quick prototyping, iterative testing, and efficient transition into full-scale operational use. Advocate for more secure AI architectures given the rising number and cost of breeches, indicating today's architectures are broken. Push for more AI security solutions at the networking layer, with capabilities from new companies such as Costa Security. This agility will significantly reduce development cycles, allowing the United States to remain ahead of global competitors.

**Policy recommendation 7:** Accelerate partnerships and usage of flexible contracting vehicles within 10 U.S.C. § 4021 and 4022. This will involve finding faster mechanisms to achieve Authority to Operate (ATO) and receive Facilities Clearance Letters (FCLs). This shift should encourage collaborations with innovative startups, academia, and research institutions. This approach will diversify AI development sources, minimize reliance on inflexible prime vendors, and ensure rapid adaptation to new technological opportunities.

**Policy recommendation 8:** Restrict prime vendors from extracting value from American-bred start-up companies through their sub-contract through their pricing structures, stifling innovation,

and habitually delaying delivery of milestones. Threaten to withhold federal dollars if they fail to do a DOGE-like revamp to drive out inefficiencies and staff grossly taxing the federal budget.

**Policy recommendation 9:** Introduce stringent cybersecurity protocols explicitly designed for AI-enabled defense systems to protect against sophisticated cyber threats and maintain national security. This would ensure integrity and trust in the systems vital to strategic military operations.

**Policy recommendation 10:** Multiply political support and funding for the Office of Strategic Capital and Defense Innovation Unit. This will ignite more public-private partnerships that encourage broader innovation and participation from companies and research institutions previously discouraged by traditional procurement barriers.

**Counterpoint:** Rapid AI deployment without rigorous testing could result in unforeseen operational or ethical issues.

**How to embrace a new era now:** Pilot specific AI Innovation Sandboxes focused on well-defined national security scenarios, with robust oversight, clear ethical guidelines, measurable success metrics, and agile iteration processes. We will find the most secure solutions by boldly leaning into innovation, not by restricting progress in fear.

## AI Applications in Verticals- Finance & Faith

AI use in verticals – such as finance and faith-based contexts - demands tailored guidelines and sector-specific governance frameworks due to their sensitive and impactful nature. Past regulatory tensions, such as those seen with Meta, underscore the necessity of clear, proactive frameworks to manage innovation responsibly without diminishing trust or infringing on faith-inspired freedoms. AI in finance can promote transparency, fairness, and economic stability requires careful oversight. Plus, AI applications must respect religious expression and prevent unintended censorship. Strategic cross-sector collaboration is essential to guide ethical, responsible AI deployment in these sensitive sectors.

**Policy recommendation 11:** Create dedicated task forces for finance-sector AI governance, developing rigorous standards for fraud detection, market stability, fairness in credit assessments, and transparency in algorithmic trading, safeguarding economic integrity.

**Policy recommendation 12:** Support the development of AI-driven personalized financial services and products tailored for underserved populations, aiming to improve financial literacy, accessibility, and economic stability across diverse socioeconomic communities. Advocate for new digital platforms using AI to provide these services such as Arimathea Investing.

**Policy recommendation 13:** Develop and adopt explicit ethical guidelines that protect religious expression and freedom, preventing AI systems from inadvertently censoring legitimate religious

content and discourse. Such guidelines will help ensure AI technologies enhance religious freedoms rather than restrict them.

**Policy recommendation 14:** Facilitate and support AI applications promoting cultural and spiritual inclusivity, enabling religious and community organizations to use AI technologies to broaden their reach and engagement without compromising values.

**Policy recommendation 15:** Establish regular platforms for collaboration and exchange of best practices between AI and faith-based organizations, fostering mutual learning and enabling ethical innovation to flourish effectively within and across sectors.

**Counterpoint:** Government involvement in religious contexts could infringe on church-state separation principles.

**How to embrace a new era now:** Convene interdisciplinary public dialogues involving religious leaders, AI technologists, regulators, academics, and ethicists to openly define effective AI boundaries and clarify appropriate roles of government oversight.

## Explainability of AI Model Outputs

Explainable AI is critical so we understand when adversaries have harmed our generative AI data and outputs. AI transparency will create more value and build trust in AI decisions, especially in high-value sectors for American leadership like finance, healthcare, and defense. Funding transparency research and setting clear explainability standards can ensure AI accountability. Independent audits and user-accessible explanations reinforce trust and transparency.

**Policy recommendation 16:** Significantly increase federal funding dedicated to research and innovation in advanced explainability methodologies for AI models, especially focusing on critical sectors like healthcare, finance, and defense. This investment will facilitate the creation of more intuitive and comprehensive explainability tools that can interpret and clearly communicate the rationale behind AI-driven decisions, fostering greater user trust and accountability.

**Policy recommendation 17:** Develop and mandate explicit, sector-specific explainability standards for all AI models utilized in critical decision-making roles within government, critical infrastructure, finance, and healthcare. Clear standards will not only enhance transparency but also provide consistent benchmarks against which all organizations and agencies can measure their AI system's compliance and reliability.

**Policy recommendation 18:** Introduce federal incentives such as tax breaks, grants, or funding opportunities to encourage the private sector to prioritize and accelerate development, adoption, and implementation of explainable AI technologies. These incentives will reduce economic barriers, promote industry-wide adoption, and foster a competitive market for explainable AI

solutions, ultimately benefiting consumers and stakeholders alike. Russia had penetrated our systems for years before the Solarwinds breach was discovered. Discovering adversaries again will be harder and more costly in AI without explainability.

**Policy recommendation 19:** Establish clear regulatory requirements ensuring that users directly impacted by AI-driven decisions are provided with understandable, timely, and accessible explanations of the decisions made by AI systems. Such mandatory explanations will empower individuals, enabling them to assess, challenge, or appeal AI-based decisions effectively, promoting greater fairness and equity.

**Policy recommendation 20:** Implement rigorous, routine independent audits of AI applications across high-risk sectors such as finance, education, and healthcare to verify adherence to established explainability standards and ethical guidelines. Independent auditing will strengthen public confidence in AI systems and ensure that organizations consistently maintain high standards of transparency, accountability, and ethical use of technology.

**Counterpoint:** Achieving full explainability might not always be technically feasible and could compromise accuracy.

**How to embrace a new era now:** Launch a substantial national innovation challenge focused specifically on developing practical, effective, and scalable explainable AI solutions. This competition would encourage researchers and industry leaders to collaborate and innovate, striking a balance between AI system transparency, performance, and accuracy.

## Delivering Education and Workforce for our Future

Preparing the future workforce for AI-driven change requires robust educational policies emphasizing lifelong learning, AI literacy, and ethical use of technology. Programs should be designed to equip students and current workers with relevant skills and adaptability, ensuring they can thrive amidst rapid technological advancements.

**Policy recommendation 21:** Implement comprehensive national educational initiatives to embed AI literacy and digital skills training from early education through higher education, emphasizing ethics and responsible AI usage. Additional investment in teacher training and resources will ensure these skills are effectively taught, preparing the workforce for ongoing technological transformations.

**Policy recommendation 22:** Establish public-private partnerships to develop specialized vocational and certification programs for AI-related skills tailored to industry needs. These partnerships will bridge the skills gap, align educational outcomes with labor market demands, and provide targeted pathways for diverse segments of the workforce.

**Policy recommendation 23:** Provide substantial funding for ongoing workforce reskilling and upskilling programs that enable individuals at all career stages to acquire new AI-driven competencies. This support is essential to ensure workers remain employable and competitive, reducing the economic disruption caused by automation and AI advancements.

**Policy recommendation 24:** Launch national campaigns to raise public awareness about AI's societal implications, opportunities, and challenges, emphasizing practical ways individuals and communities can engage positively with emerging technologies. Use AI-empowered education to *strengthen awareness and understanding of areas threatening American prosperity, such as nutrition and exercise, financial management basics such as debt management, character formation, interpersonal communication in an increasingly digital world, news misinformation & social media literacy, and responsible relationship management.* Broad public engagement and informed discourse will promote greater societal acceptance and educated decision-making leveraging AI.

**Policy recommendation 25:** Foster collaborative networks among educational institutions, industry leaders, and government agencies to continually assess and update AI training programs and curricula. Regular collaboration and feedback loops will ensure workforce development remains relevant and responsive to rapidly evolving AI capabilities and market demands.

**Counterpoint:** Exclusive focus on AI skills might overlook broader foundational skills required in the workforce.

**How to embrace a new era now:** Establish balanced, comprehensive educational frameworks integrating AI and technology skills alongside critical thinking, creativity, and interpersonal skills, ensuring holistic preparation for future employment landscapes.

## Honoring Values-Centered Design

Integrating values-centered design principles ensures AI development aligns with community values, ethical frameworks, and respects religious beliefs. This alignment is critical to support human flourishing, communities, human relationships & trust, and the greater good. ***AI can always help us go faster and be more efficient, but can it help us be better people?***

**Policy recommendation 26:** Form interdisciplinary councils comprising technologists, theologians, ethicists, and community leaders to create AI design guidelines reflecting America's full breadth of religious and moral perspectives. These need to include and address the needs of vulnerable sub-groups, such as rural American farmers. Such inclusive councils will provide broad, thoughtful perspectives on aligning AI development with time-honored values and beliefs. Groups such as SENT Ventures and the Building AI Forum can be invaluable allies here.

**Policy recommendation 27:** Provide targeted funding for research exploring intersections between faith, ethics, and AI, aiming to uncover practical methods for embedding values

considerations into AI product development. This investment will yield valuable insights for governance structures that foster innovation in a centered, healthy way.

**Policy recommendation 28:** Encourage the development of faith-inclusive AI tools and technologies designed explicitly to respect religious expression and protect against algorithmic biases or censorship of faith-based content. Clear safeguards and proactive measures will maintain religious freedoms and prevent discrimination.

**Policy recommendation 29:** Facilitate community dialogues and feedback forums involving religious organizations, technology developers, and policymakers to ensure AI technologies consider and reflect community values. Regular, structured interactions will promote mutual understanding and enhance trust among communities using AI.

**Policy recommendation 30:** Promote transparency and open disclosure of AI methodologies, especially when AI systems significantly impact religious and ethical matters. Transparent processes and open communication will strengthen public trust and accountability.

**Counterpoint:** Potential risks exist around governmental involvement in religious matters.

**How to embrace a new era now:** Convene open, inclusive dialogues with religious and community leaders to transparently navigate ethical complexities, maintaining clear boundaries to protect religious freedoms while promoting ethical AI innovation.

## American Superiority in International Competition

Securing American leadership in the global AI arena requires strategic international collaboration, robust domestic innovation, intellectual property protections, and a commitment to democratic values and human rights. With global competitors, particularly China, investing heavily in AI development, the U.S. must strengthen its AI ecosystem to ensure sustained technological leadership and strategic advantage. Proactive international partnerships and clear governance frameworks are vital to maintaining this leadership role while responsibly addressing global AI challenges. Moreover, safeguarding sensitive AI technology from adversarial acquisition must be balanced carefully with encouraging open, responsible global cooperation.

**Policy recommendation 31:** Expand multi-national collaboration and partnerships with strategically aligned allies, focusing explicitly on joint AI research, technology standard-setting, and ethics. Coordinated efforts will enable the U.S. and its allies to collectively address critical global challenges such as AI-driven cybersecurity threats, disinformation campaigns, and human rights issues, providing mutual support and enhancing global stability. These partnerships will strengthen democratic nations' influence over global AI norms, standards, and regulations, countering authoritarian regimes' attempts to shape AI governance according to their own interests.



**Policy recommendation 32:** Significantly increase federal investments in domestic AI innovation initiatives, supporting foundational AI research, cutting-edge technology development, and commercialization programs. Enhanced funding should be aimed explicitly at sectors critical to national security and economic competitiveness, including AI-driven cybersecurity, biotechnology, financial technology, education & human development in the age of AI, and advanced manufacturing. Creating robust domestic innovation ecosystems will ensure that American companies remain at the forefront of AI advancements, preventing technological dependency on foreign sources and maintaining global leadership in strategic AI fields.

**Policy recommendation 33:** Strengthen intellectual property (IP) protections specifically related to critical AI technologies, algorithms, models, and data. Enhanced IP frameworks should include clear, enforceable mechanisms that deter international IP theft, espionage, and unauthorized transfer of sensitive technologies. Robust protection of intellectual property will ensure American innovators and companies benefit economically from their investments in research and development, promoting sustained innovation and providing incentives for continued industry leadership and global competitiveness.

**Policy recommendation 34:** Develop strategic and nuanced export control policies governing sensitive AI technologies, ensuring that critical American AI innovations do not inadvertently enhance adversarial capabilities. Clear guidelines must be established in collaboration with industry leaders and security experts, determining which AI technologies warrant restrictive export measures without stifling legitimate global cooperation. These strategic export controls will protect critical U.S. national security interests while still enabling productive international research and commercial collaboration in less-sensitive areas of AI.

**Policy recommendation 35:**

Establish comprehensive and proactive monitoring mechanisms to continuously assess international AI developments, strategies of competitor nations, and emerging global AI trends. Dedicated intelligence and analytical resources should be leveraged to inform U.S. policymakers, allowing timely and informed strategic responses to global AI developments. This proactive stance will ensure American policymakers remain well-informed, agile, and prepared to adjust strategies rapidly, securing the nation's sustained competitive advantage and strategic leadership in the global AI landscape.

**Counterpoint:** Aggressive competition could hinder cooperative efforts necessary for developing globally beneficial AI solutions, potentially leading to fragmented standards and increased geopolitical tensions.

**How to embrace a new era now:** Host regular international AI summits and collaborative forums with democratic allies and strategic partners, aiming to establish shared governance frameworks, ethical standards, and strategic partnerships. These international platforms will facilitate dialogue, build consensus, and encourage responsible, cooperative approaches to global



AI development, balancing national competitiveness with international collaboration and responsibility.

## About the Author

Andrew DeBerry is a pragmatic strategic leader with extensive experience in technology, financial management, and military operations. He has held leadership roles for new AI product business teams at Meta, Microsoft, and Google, adeptly managing regulatory complexities to foster innovation. His distinguished military service with U.S. Cyber Command and JSOC complements his expertise in cybersecurity and defense strategy. As founder of a secure AI company and President of a wealth management firm, Andrew advocates for bold AI solutions that strengthen American families and prosperity. A speaker for executives and board directors on Wall Street, the UK Royal Society, and the Vatican, his expertise uniquely positions him to guide effective AI policies aligned with American values and global leadership.

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